

“Framing Strategic Change: Persuading Audiences in Offensive vs. Defensive Changes”

Jueun Kim¹, Majid Majzoubi¹

¹Schulich School of Business, York University, Toronto, Canada

Introduction

- **Why change is hard:** Strategic change can trigger audience resistance by disrupting existing beliefs about the firm and increasing uncertainty about future.
- **What firms do:** Firms use **framing**—selective language that highlights some elements of change—to shape audience interpretation and sustain support.

Change Types

- Offensive change: proactive, opportunity-seeking
- Defensive change: reactive, necessity-driven

The Framing Dilemmas

- Continuity vs. Discontinuity
- Why-focused vs. How-focused

Research Questions

- How does the effectiveness of framing strategies **depend on whether change is offensive or defensive?**
- Which frames increase audience support by shaping:
 - Perceived **necessity** of change
 - Perceived **feasibility** of change

OFFENSIVE

CONTINUITY FRAME → FEASIBILITY → INVESTMENT

WHY-FOCUSED FRAME → NECESSITY → INVESTMENT

DEFENSIVE

DISCONTINUITY FRAME → NECESSITY → INVESTMENT

HOW-FOCUSED FRAME → FEASIBILITY → INVESTMENT

Method

- **Design:** Two independent 2x2 experiments (N=800).
- **Scenario:** Lunex Pharma shifting production to sterile injectables. Context manipulated as "Strong Performance" (Offensive) vs. "Challenged" (Defensive).

Results

Baseline Perceptions

- Off-Necessity 3.4
- Off-Feasibility 4.1
- Def-Necessity 4.6
- Def-Feasibility 3.3

Defensive change → more necessary but less feasible

Offensive change → more feasible but less necessary

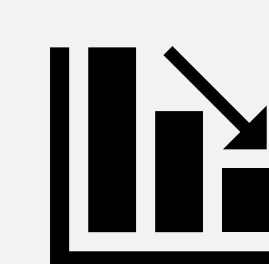
Key Findings: Offensive Change

Supported by both ANCOVA and PROCESS MACRO Mediation

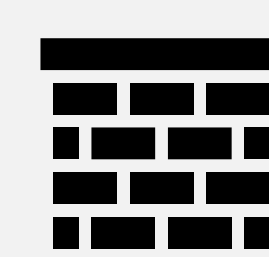
- Continuity Framing: Increased support by reinforcing perceived feasibility.
- Why-focused Framing: Increased support by legitimizing strategic necessity.

Key Findings: Defensive Change

- Discontinuity and How-focused framing did not reliably increase support.



Failure Cue Dominance: Poor performance anchors dominate information processing over linguistic cues.



Ceiling/Floor Effects: Necessity is already "capped" at high levels, leaving no room for framing to move support.



Interpretive Heterogeneity: Decline leads to conflicting causal narratives, washing out treatment effects.



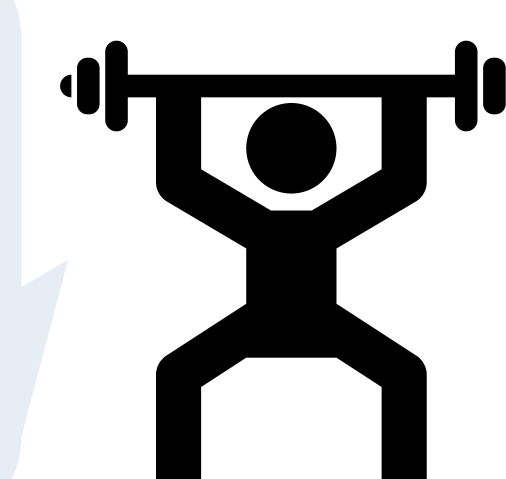
Discussion

- Audiences evaluate change through two core lenses:
 - ✓ Is this change **necessary**?
 - ✓ Is this change **feasible**?
- **Offensive change benefits from:**
 - ✓ preserving feasibility by using **continuity framing**
 - ✓ justifying necessity by using **why-focused framing**
- **Defensive change is constrained by:**
 - ✓ strong failure signals
 - ✓ credibility erosion
 - ✓ ceiling/floor effects in perceptions

Key Takeaway

- Framing is not universally effective — its impact depends on why firms are changing
- Necessity and feasibility are the key psychological mechanisms driving support for strategic change

CONTINUITY
This is the same company, carried forward



WHY-FOCUSED
I want to explain why we are changing



Schulich
School of Business
York University

YORK
UNIVERSITÉ
UNIVERSITY